

correction during the course of each of these years. There were phases when traders like me lost a packet, but the market had been kind enough to give us enough opportunities to get back into the game.

There was a New Year party planned at an influential market operator's weekend home in Alibaug. I was not very keen on going, but GB insisted that I go with him.

'Don't be a sissy, Lala. Come, let's have a good time. More importantly, listen to what some of the best people in the trade have to say about the market,' he said.

'If you say so, Govindbhai,' I said. GB was one person I always found hard to turn down.

As I was driving down to Alibaug, a friend called to say that RBI had issued a circular permitting FIIs to short-sell equities. Short-selling by FIIs was nothing new. Even if the rules had forbidden it until now, many hedge funds were known to have been borrowing shares held by foreign brokerage houses in P-note accounts, and selling them in the hope of buying them cheaper later on to return to the lender. The RBI circular would legitimize such short sales, going forward.

Also, there was a perfectly justifiable reason for RBI to allow FIIs to make short sales, as I saw it. The market was beginning to overheat because of the heavy purchases from both institutional and retail investors. Traders who had so far tried to short the market had been routed. The result was an absence of effective counterbalances in the market, should sentiment change for the worse. Perhaps by allowing FIIs to short-sell, RBI was trying to rectify the imbalance in the system. But whichever way I looked at it, the signs looked ominous.

I immediately called GB to inform him about the development.

'Yes, I heard about it too . . . hard to say what impact it could have in the short term,' GB said. 'None, so far as I can see, as long as the overall trend remains bullish. But the day the trend reverses, rest assured that there will be slaughter. The bears are now armed; only, they will have to wait for a suitable opportunity to deploy the weapon for maximum impact.'

At the party, everybody was upbeat about the coming year. The seasoned hands knew a correction was in the offing. They had seen too many bull markets to believe that this party could go on indefinitely, even if they consoled themselves saying every bull market was different from the previous one. And the immortal line – 'it's different this time' – seemed to